1. The Accounting System

1.1. The Double Entry Bookkeeping for Cash Items

- The accounting system is a process of identifying, analysing, and recording accounting events of a company to provide useful information to stakeholders to make decisions.
- Ex: Selling goods/purchasing raw materials
- Double-entry bookkeeping is a process that means that each transaction has two sides Golden rule: For every debit entry in a ledger account, there must be an equal credit entry in another ledger account.
- Ex: You pay 5 dollars for candy to a shopkeeper (one), and the shopkeeper receives 5 dollars (second)
- Both aspects are recorded
- Ex A cash sale:
- Debit Cash a/c (Increase in Assets)
- Credit Sales a/c (increase in income)
- Double Entry Book entries are displayed in a "T" shape

Debit	Credit
Increase Assets	Decrease Assets
Increase Expenses	Decrease Expenses
Decrease Liabilities	Increase Liabilities
Decrease Income	Increase Income

1.2. Double-Entry Bookkeeping for Credit Transaction

- Credit Transaction:- where there is no exchange of payment at the time of the transaction.
  - In seller's books
  - Credit Sales a/c
  - Debit Customer a/c
- Debtor: A customer (or other party) owes the business money.
- Creditor: Suppliers (or other parties) to whom the business owes money
- Trade discount: A reduction in the selling price of goods made by one trader to another who is in the same line of business
- Cash (or settlement) discount: An allowance given by a seller to a customer to encourage the customer to pay an invoice before its due date for payment.
  - Discount received: Cash discount received by the purchaser from the seller of goods, treated as an income
  - Discount allowed: Cash discount allowed by the seller to the purchaser of goods, treated as an expense.
- Cash discounts are always recorded in the ledgers, while trade discounts are only mentioned in the source documents.
- The accounting Equation is

  Assets = Liabilities + Owner's Equity
  - This equation will be used throughout the chapters and will always be true.
    - Use this equation to cross-check your answers in future questions:)
    - Purchases returns always go to a purchases returns account. They are never entered on the credit side of the purchase account.

1.3. Source Documents

- The information entered into the prime entry books is from the source documents. These may be
  - Invoice: a document that a business issues to its customers, asking the customers to pay for the goods and services that the business has supplied to them.
  - Statement: A summary issued by the supplier to the customer, listing all transactions and the total amount due.
  - Credit note: A receipt given to a customer who has returned goods, which can be offset against future purchases.
  - Debit note: Issued by the entity receiving the goods. Cross referred to the credit note issued by the supplier.
  - Receipt: Issued by the selling entity indicating the payment received
  - Cheque counterfoil: this is part of a cheque that is kept when you give the other part to another entity
  - Pay in slip: This is used to deposit money into a bank account
  - Petty cash voucher: used as a receipt whenever cash is withdrawn from a petty cash box
  - Delivery note: a document that accompanies a shipment of goods
  - Purchase order: this is the first official issue to the seller placing an order
  - Remittance advice notes: a proof of payment document sent by a customer to a business
  - Bank statement: document sent by the bank to the account holder every month summarizing all the transactions that occurred in that month

1.4. Books of Prime Entry

- Books of Prime Entry are used to list all transactions of a kind before being posted on ledgers.
  - For example, all sales transactions will be posted in a 'Sales Journal' before being entered into the ledgers.

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- There are 6 types of Books of Prime Entry:
  - Sales Journal
  - Sales Returns Journal
  - Purchases Journal
  - Purchases Return Journal
  - Cash Book
  - Journal
- A book of Prime Entry has its functions:
  - Each transaction is recorded chronologically for future reference.
  - Each transaction is analysed using the debit and credit aspects to learn the effect it has on the business financially.

Books Of Prime Entry	Use
Sales Journal	Record **Credit** Sales from invoices.
Sales Returns Journal	Record goods returned from **Credit** Customers.
Purchases Journal	Record **Credit** Purchase
Purchases Returns journal	Record goods returned to suppliers
Cash Book	Record all Cash and Bank Transactions (check payments included) as well as discounts allowed (dr side) and discounts received (cr side)
Journal	Record Transactions for which there isn't any other entry. This includes correcting errors, adjustments to the accounts, and transfers between accounts.

- **Limitations of Books of Prime Entry**:
  - Huge and Bulky in size - A single journal for a business would be a lot of work to operate and handle
  - Balance of accounts not available at a glance - As there are numerous transactions in a business, it would take a lot of time to find a particular transaction.
  - Difficulty in Reconciling Cash Book—If a business records all transactions in journal(s) and does not maintain a cash book, reconciling the daily cash balance would be difficult.
  - Repetitive transactions - A business would have similar kinds of transactions every day and to record them would require extra labour.

1.5. Balancing Accounts

- This process includes finding which side has the greater side in a ledger account.
- Accounts are usually balanced at frequent intervals as its vital for the business to know how much money is in the bank, accounts of customers and suppliers are balanced monthly.

1.6. Classification of Accounts and Division of Ledgers

- **Types of ledgers.**
  - Sales ledger – accounts of customers
  - Purchase ledger – accounts of suppliers
  - General ledger – impersonal accounts
  - Private ledger – owners' capital and drawings
  - Cash book
  - Petty cash book
- Division of ledgers is essential as it allows staff to be trained in different aspects of the business, helps detect and prevent errors and fraud, and is referred to as an internal check.
- **Accounts are classified in two ways.**
  - Personal - It is an account which is related to a person
    - Accounts for trade receivables
    - Account for trade payables
    - Accounts of capital and drawings
  - **Impersonal accounts** - It is every other account other than a personal account
    - Accounts with a debit balance
      - Asset's a/c – non-current and current
      - Nominal a/c
        - Expense a/c
        - Revenue a/c

Preparation of a Ledger

2019	Particulars
March 8	Mr Aaron started a business with a capital of $200000
March 12	He purchased motor vehicles for $40,000
March 15	He purchased goods for $70,000
March 22	He sold goods for $70,000
March 29	He paid salaries amounting to $30,000

Transactions → Journal Entry

Date	Particular	Amount	Amount
March 8	Cash A/c Dr. \n Capital A/c Cr.	200,000	200,000
March 12	Motor Vehicles A/c Dr. \n Cash A/c Cr.	40,000	40,000
March 15	Purchases A/c Dr. \n Cash A/c Cr.	70,000	70,000
March 22	Cash A/c Dr. \n Sales A/c Cr.	70,000	70,000
March 29	Salaries A/c Dr. \n Cash A/c Cr.	30,000	30,000

Journal → Ledger

1. Cash A/c Ledger

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Date	Particulars	Amount	Date	Particulars	Amount
2019				2019	
Mar 8	Capital A/c	200,000	Mar 12	Motor Vehicles A/c	40,000
Mar 22	Sales A/c	70,000	Mar 15	Purchases A/c	70,000
			Mar 29	Salaries A/c	30,000
				Bal c/d	130,000
	Total	270,000		Total	270,000

1. Capital A/c

Date	Particulars	Amount	Date	Particulars	Amount
2019				2019	
Mar 29	Bal c/d	200,000	Mar 8	Cash A/c	200,000
	Total	200,000		Total	200,000

1. Motor Vehicles A/c

Date	Particulars	Amount	Date	Particulars	Amount
2019			2019		
12 Mar	Cash A/c	40,000		Bal c/d	40,000
	Total	40,000		Total	40,000

1. Purchases A/c

Date	Particulars	Amount	Date	Particulars	Amount
2019			2019		
15 Mar	Bal c/d	70,000		Cash A/c	70,000
	Total	70,000		Total	70,000

1. Salaries A/c

Date	Particulars	Amount	Date	Particulars	Amount
2019			2019		
29 Mar	Cash A/c	30,000		Bal c/d	30,000
	Total	30,000		Total	30,000

1.7. Trial Balances

- It is a list of balances on each account to check if the

The debit side equals the credit side extracted from the ledger accounts at a particular date

1. Zabine balanced each account in her ledger, together with the cash book, on 31 March 2016. She then prepared a trial balance by listing each account and its balance on that date.

A/c	Debit Balances	Credit Balances
	($)	($)
Premises	70000	
Machinery	10000	
Office Furniture	5000	
Sales	100000	
Sales Returns	700	
Purchases	6900	
Purchases Returns	1000	
Trade Receivables	1100	
Trade Payables	1575	
Rent Payable	1600	
Wages & Salaries	4080	
Heating & Light	960	
Other Operating Expenses	1430	
Cash	500	
Bank	12600	
Loan	2000	
Capital	13000	
Drawings	2705	
Total	117575	117575

- **Errors that can still persist even if the trial balance balances:**
  - Errors of Omission: Transactions that are completely omitted from the books.
  - Errors of commission: Transactions that are posted to the wrong account but are of the same class, such as a telephone bill put into heat and lighting.
  - Errors of Principle: Transactions were posted to the wrong account and were not in the same class.
  - Errors of Original Entry: A wrong amount is entered into the journal
  - Complete Reversal of Entries: The account which should have been debited has been credited
  - Compensating Errors: Two or more errors cancel each other out.
- **What to do if the trial balance does not agree**
  - Check Additions to the trial balance
  - If the difference is divisible by 2, look for a balance equal to half the difference, which may have been entered on the wrong side.
  - If the difference is divisible by 9, two figures may have been transposed into a balance.
  - If it's still not agreeing, then go back to the start and check if you have transferred them correctly.

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